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China Tanker Shipping

Hormuz disruption monitor - week 11: CSET recovers as shadow fleet risks build

Infrastructure, Industrials & Transport

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VLCC freight rebounded again into early May, with momentum strongest around 7–11 May before moderating slightly last week. Partial recovery in Gulf export flows remains supportive for tanker demand and utilization, with Saudi-bound VLCCs recovering to 31 this week from 26 last week, although still below the 48 seen on 22 March. Cosco Shipping Energy Transport (CSET)'s idle rate also declined further to ~5% of active VLCC deployment, the lowest since the conflict erupted, suggesting improving utilization and successful redeployment into alternative trade flows. Meanwhile, TD34/Oman–China and Atlantic Basin VLCC earnings remained historically elevated, indicating tanker markets remain tight as rerouting, resilient oil demand and constrained effective vessel supply continue to support freight. A new emerging risk, however, is that prolonged Iranian influence over Hormuz may gradually complicate the expected tightening cycle for the compliant tanker markets and tanker shipbuilding if recovering Gulf-linked exports increasingly migrate toward Iran-friendly shadow operators rather than compliant listed fleets.

- **CSET utilization improved to the strongest level since the conflict began:** CSET idle rate declined further to ~5%, the lowest since the conflict erupted, indicating improving fleet utilization despite softer spot momentum. Saudi-bound exposure stabilized modestly, while overall deployment continued to shift toward active trading routes.
- **Atlantic Basin redeployment continued accelerating:** CSET's West Africa exposure increased to 11% from only ~2–3% through most of April, while its South America exposure increased further to 19%. By contrast, Middle East exposure remained below pre-conflict levels at ~26% versus >40% in late March.
- **Recovering Gulf exports remained supportive for freight:** Saudi-bound VLCC participation recovered to 31 this week from 26 last week. TD34/ Oman–China and Atlantic Basin VLCC earnings remained elevated, suggesting tanker supply remains effectively tight.
- **Shadow fleet risks may gradually build under prolonged Iranian influence:** If Iran retains effective influence over Hormuz without a full peace settlement, a larger share of Gulf-linked exports may increasingly migrate toward Iran-friendly shadow operators rather than compliant listed fleets. Compliant owners remain more constrained by crew safety concerns, war-risk insurance, and the risk of secondary sanctions if Iran-mediated transit arrangements are viewed as sanctions violations.
- **The key downside risk remains demand destruction:** Recovery in Gulf export flows and eventual peace agreements should remain supportive for tanker demand, utilization and cargo recovery, particularly if buyers move into replacement-barrel sourcing or inventory rebuilding. The larger downside risk instead remains a prolonged Hormuz disruption eventually triggering recessionary demand destruction rather than panic restocking.

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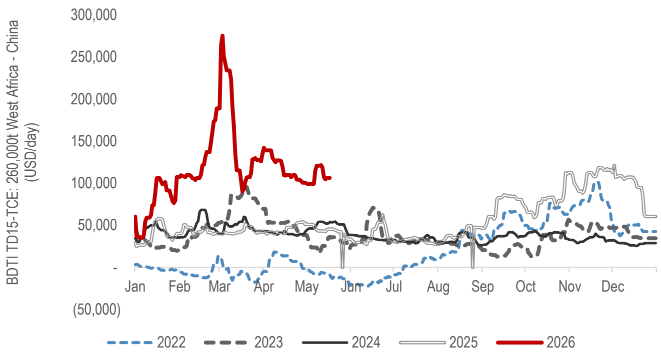
Freight rebounds as utilization improves

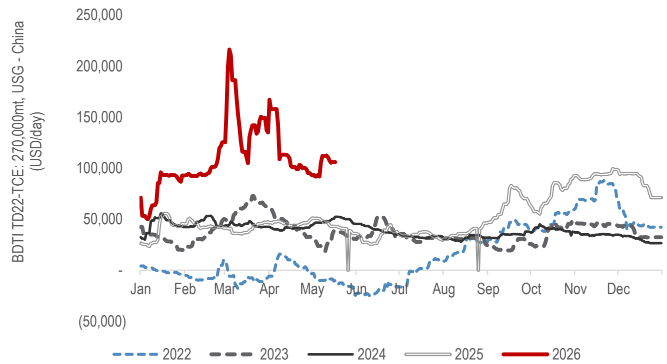
VLCC freight rebounded again into early May, with the strongest momentum around 7–11 May before moderating modestly last week. Despite a partial recovery in Gulf export flows, TD34/Oman–China and Atlantic Basin routes remain historically elevated, suggesting tanker markets remain fundamentally tight as rerouting, resilient oil demand and constrained effective vessel supply continue to support freight. More importantly, CSET utilization improved further, with floating storage/waiting exposure declining to ~5% of active VLCC deployment, the lowest since the conflict erupted.

Figure 1: TD15: West Africa-China VLCC earnings remain supported by replacement-barrel demand



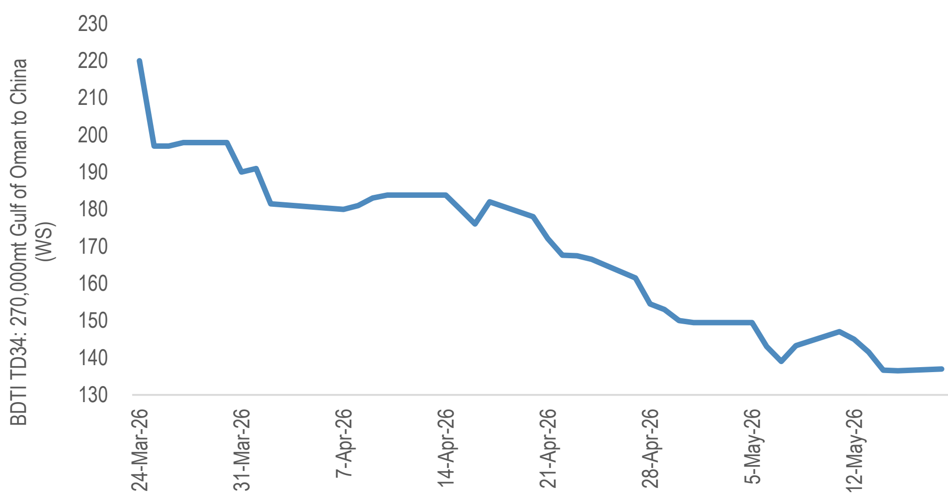
Source: Clarksons Research (as of 18 May 2026)

Figure 2: TD22: US Gulf-China VLCC earnings remain elevated on longer-haul trade flows



Source: Clarksons Research (as of 18 May 2026)

Figure 3: TD34/Oman-China VLCC freight remains structurally strong



Source: Clarksons Research (as of 18 May 2026)

Atlantic Basin redeployment continues to accelerate

CSET deployment continues to shift away from direct Middle East exposure toward replacement-barrel and Atlantic Basin trades. West Africa exposure rose sharply to 11% this week from only ~2–3% through most of April, while South America exposure increased further to 19%. By contrast, Middle East exposure remains structurally below pre-conflict levels at ~26% versus >40% in late March. This suggests compliant

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operators increasingly prefer Atlantic Basin deployment.

Figure 4: CSET deployment mix: CSET continues pivoting toward Atlantic Basin replacement-barrel trades

	Cosco Shipping Energy VLCC-in-transit % breakdown							
	22nd Mar	29th Mar	5th Apr	12th Apr	26th Apr	3rd May	10th May	17th May
Southeast Asia	13%	11%	15%	15%	10%	12%	24%	18%
Middle East	42%	34%	25%	32%	24%	24%	21%	26%
Waiting	15%	13%	15%	15%	31%	17%	14%	5%
South America	3%	5%	5%	5%	10%	10%	11%	19%
North America	5%	5%	5%	5%	10%	10%	8%	3%
Intra-region	2%	3%	2%	0%	2%	10%	8%	5%
Southern Africa	5%	11%	13%	15%	0%	5%	5%	5%
In Hormuz	8%	8%	8%	5%	5%	5%	5%	3%
West Africa	3%	3%	3%	5%	2%	2%	3%	11%
Central Africa	5%	3%	5%	3%	5%	5%	0%	5%
East Africa	0%	3%	3%	0%	0%	0%	0%	0%
South Asia	0%	3%	0%	0%	0%	0%	0%	0%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 5: China remained the largest destination for Asian import-in-transit crude flows

	Share of import in-transit VLCC flows (by destination)
China	29.8%
Singapore	23.6%
South Korea	15.1%
Japan	11.1%
Taiwan	5.2%
India	5.2%
Malaysia	4.2%
Sri Lanka	4.2%
Hong Kong	1.1%
Indonesia	0.5%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 6: North America surpassed the Middle East as Asia's largest VLCC crude origin

	Share of import-in-transit VLCC flows (by origin)
North America	22.7%
East Asia	18.9%
Middle East	18.1%
Southeast Asia	16.7%
West Africa	11.6%
South America	7.8%
Central Africa	2.1%
South Asia	2.0%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 7: Atlantic Basin and Indian Ocean routes now dominate in-transit VLCC positioning

	Share of in-transit VLCC flows (by current location)
Indian Ocean	29.0%
Atlantic Basin	23.9%
East Asia	19.5%
Southeast Asia	14.6%
Persian Gulf	6.6%
Red Sea	5.2%
Pacific Basin	1.2%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Gulf recovery remains partial

Saudi-bound VLCC participation recovered to 31 this week from 26 last week, but still remains below the 48 seen on 22 March. Bahri participation recovered to 15 VLCCs, while CSET and CMES remained limited at only one VLCC each. Recovering Gulf exports remain supportive for tanker demand and utilization in the near term, particularly if replacement-barrel demand and inventory rebuilding continue.

Figure 8: Saudi-bound VLCC participation recovers modestly from April lows

	Saudi-bound VLCCs (Number)							
	22nd Mar	29th Mar	5th Apr	12th Apr	26th Apr	3rd May	10th May	17th May
Angelicoussis Group	3	2	2	-	2	1	-	2
Bahri	22	24	20	5	14	13	12	15
Cosco Shipping Energy	8	4	-	3	4	3	1	1
China Merchants	-	1	-	4	3	4	3	1
DHT Holdings	1	1	1	-	-	-	-	-
Fredriksen Group	2	1	1	-	-	-	-	1
Sinokor Merchant	3	3	6	3	5	4	7	7
Others	9	4	4	5	7	6	3	4
Total	**48**	**40**	**34**	**20**	**35**	**31**	**26**	**31**

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 9: CSET continues redeploying toward Atlantic Basin and replacement-barrel trades

	Cosco Shipping Energy VLCC-in-transit % breakdown							
	22nd Mar	29th Mar	5th Apr	12th Apr	26th Apr	3rd May	10th May	17th May
Southeast Asia	13%	11%	15%	15%	10%	12%	24%	18%
Middle East	42%	34%	25%	32%	24%	24%	21%	26%
Waiting	15%	13%	15%	15%	31%	17%	14%	5%
South America	3%	5%	5%	5%	10%	10%	11%	19%
North America	5%	5%	5%	5%	10%	10%	8%	3%
Intra-region	2%	3%	2%	0%	2%	10%	8%	5%
Southern Africa	5%	11%	13%	15%	0%	5%	5%	5%
In Hormuz	8%	8%	8%	5%	5%	5%	5%	3%
West Africa	3%	3%	3%	5%	2%	2%	3%	11%
Central Africa	5%	3%	5%	3%	5%	5%	0%	5%
East Africa	0%	3%	3%	0%	0%	0%	0%	0%
South Asia	0%	3%	0%	0%	0%	0%	0%	0%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Deployment divergence continues to widen across owners

Fleet deployment remains increasingly bifurcated between operators maintaining cautious Middle East exposure and operators redeploying toward the Atlantic Basin and replacement-barrel trades.

Figure 10: Idle rate continues declining across VLCC fleets

	Share of active VLCC fleet %
Floating Storage/Waiting	33.7%
Intra-region	11.4%
In Hormuz	6.8%
Southeast Asia→Middle East	5.0%
East Asia→Southeast Asia	4.8%
North America→East Asia	4.3%
Middle East→East Asia	4.2%
Southeast Asia→East Asia	2.9%
Southeast Asia→South America	2.8%
Southeast Asia→North America	2.8%
Middle East→Southeast Asia	1.7%
West Africa→East Asia	1.7%
South America→East Asia	1.6%
North America→Southeast Asia	1.5%
Southeast Asia→South Asia	1.3%
Others	13.6%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 11: CSET continues pivoting toward Atlantic Basin replacement-barrel trades

	Share of active CSET VLCC fleet %
Middle East→East Asia	23.2%
East Asia→Southeast Asia	10.4%
Southeast Asia→South America	8.2%
West Africa→East Asia	8.0%
South America→East Asia	8.0%
Southeast Asia→South Asia	7.7%
Intra-region	5.4%
Floating Storage/Waiting	5.3%
Southeast Asia→Central Africa	5.3%
Southeast Asia→Southern Africa	5.3%
In Hormuz	2.7%
South America→Southeast Asia	2.7%
Southeast Asia→North America	2.7%
West Africa→Southeast Asia	2.7%
Southeast Asia→Middle East	2.6%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 12: CMES maintains diversified exposure across Atlantic and Asia routes

	Share of active CMES VLCC fleet %
Floating Storage/Waiting	23.6%
Intra-region	10.2%
North America→East Asia	10.2%
Southeast Asia→North America	8.0%
Middle East→East Asia	7.7%
West Africa→East Asia	6.1%
North America→Southeast Asia	4.1%
Southeast Asia→West Africa	4.1%
Central Africa→East Asia	4.0%
Southeast Asia→Southern Africa	3.9%
Central America→East Asia	2.1%
West Africa→Southeast Asia	2.1%
South America→Southeast Asia	2.1%
Southeast Asia→South America	2.1%
Southeast Asia→East Asia	2.1%
Others	7.9%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 13: Sinokor continues maintaining elevated Hormuz exposure and floating storage positioning

	Share of active Sinkor VLCC fleet %
Floating Storage/Waiting	34.9%
In Hormuz	8.7%
Intra-region	8.3%
Southeast Asia→Middle East	6.2%
North America→East Asia	5.7%
East Asia→Southeast Asia	5.7%
Middle East→East Asia	5.1%
Southeast Asia→South America	2.6%
Middle East→Southeast Asia	2.1%
Southeast Asia→East Asia	2.1%
Southeast Asia→North America	2.1%
South America→East Asia	1.6%
North America→Southeast Asia	1.5%
Southeast Asia→South Asia	1.5%
Southeast Asia→Southern Africa	1.1%
Others	10.8%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

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Figure 14: Bahri fleet remains heavily exposed to Middle East-linked routes

	Share of active Bahri VLCC fleet %
Floating Storage/Waiting	25.1%
Southeast Asia→Middle East	14.4%
Intra-region	14.1%
East Asia→Southeast Asia	10.6%
Southeast Asia→North America	7.2%
North America→East Asia	7.2%
South Asia→Middle East	3.6%
Middle East→Southeast Asia	3.6%
Middle East→Southern Africa	3.6%
West Africa→East Asia	3.6%
South America→North America	3.6%
Central America→North America	3.6%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 15: Mitsui O.S.K. Lines maintains elevated idle rate

	Share of active Mitsui O.S.K. VLCC fleet %
Floating Storage/Waiting	33.4%
In Hormuz	14.2%
North America→East Asia	9.5%
Intra-region	9.4%
Southeast Asia→North America	4.8%
East Asia→Southeast Asia	4.8%
North America→Southeast Asia	4.8%
Southeast Asia→West Africa	4.8%
South Asia→North America	4.8%
South Asia→East Asia	4.7%
South Asia→Southern Africa	4.7%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Figure 16: NYK remains focused on intra-region and Pacific deployment

	Share of active NYK Line VLCC fleet %
Floating Storage/Waiting	35.0%
Intra-region	29.5%
Southeast Asia→North America	11.9%
Southeast Asia→East Asia	5.9%
North America→East Asia	5.9%
South Asia→South America	5.9%
In Hormuz	5.8%
In Hormuz	5.5%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 10 May 2026)

Figure 17: Angelicoussis remains positioned toward Middle East and Southeast Asia routes

	Share of active Angelicoussis VLCC fleet %
Floating Storage/Waiting	25.1%
Southeast Asia→Middle East	14.4%
Intra-region	14.1%
East Asia→Southeast Asia	10.6%
Southeast Asia→North America	7.2%
North America→East Asia	7.2%
South Asia→Middle East	3.6%
Middle East→Southeast Asia	3.6%
Middle East→Southern Africa	3.6%
West Africa→East Asia	3.6%
South America→North America	3.6%
Central America→North America	3.6%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 10 May 2026)

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Figure 18: Fredriksen continues emphasizing Atlantic Basin deployment

	Share of active Fredriksen (including Frontline) VLCC fleet %
Floating Storage/Waiting	41.4%
Southeast Asia→South America	13.7%
Southeast Asia→Middle East	10.5%
North America→Europe	10.3%
Southeast Asia→South Asia	3.4%
South Asia→South America	3.4%
Intra-region	3.4%
South America→Southeast Asia	3.4%
South America→Europe	3.4%
Southeast Asia→North America	3.4%
Southeast Asia→East Asia	3.4%

Source: Clarksons Research data and Vessel Finder AIS data compiled by J.P. Morgan (as of 18 May 2026)

Shadow fleet risks gradually build

While we remain constructive on near-term tanker earnings, prolonged Iranian influence over Hormuz may gradually complicate the expected tightening cycle for compliant tanker markets and tanker shipbuilding. Prior to the conflict, the market broadly expected sanctions relief on Iranian, Venezuelan and Russian oil to accelerate the retirement of aging shadow fleet vessels. However, if Iran retains effective influence over Hormuz without a full peace settlement, a larger share of Gulf-linked exports may increasingly migrate toward Iran-friendly shadow operators rather than compliant listed fleets.

Key downside risk remains demand destruction

Recovery in Gulf export flows and eventual peace agreements should remain supportive for tanker demand, utilization and cargo recovery, particularly if buyers move into replacement-barrel sourcing or inventory rebuilding. The larger downside risk instead remains a prolonged Hormuz disruption eventually triggering recessionary demand destruction rather than panic restocking. In such a scenario, persistently high oil prices and weaker economic activity could reduce global oil demand and cargo movements, outweighing the positive tonne-mile impact from rerouting and replacement-barrel demand.

Relevant reports:

- COSCO Shipping Energy Transport (1138.HK/600026.SH): Tight effective balance supports 2026 earnings; risks shift into 2027; buy CSET-H on dips (19 Dec 2025)

- China Tanker Shipping: Venezuelan flow displacement and Hormuz risk reprice tanker freight — reaffirming a strong 2026 outlook (17 Jan 2026)
- China Tanker Shipping: VLCC rate swings and equity volatility amid Iran headlines – what is priced in? (2 Feb 2026)
- China Tanker Shipping: What to make of the YTD tanker TCE and equity frenzy? And will India and China revert to old habits? (24 Feb 2026)
- China Tanker Shipping: Iran conflict: ~50% of seaborne oil exposed – immediate tanker tightening, duration decides outcome (2 Mar 2026)
- COSCO Shipping Energy Transport (1138.HK/600026.SH): Takeaways from fireside chat (27 February): Sinokor, sanctions and Iran (3 Mar 2026)
- COSCO Shipping Energy Transport (1138.HK/600026.SH): Black swans compound: Iran, compliant tightening and market consolidation reset VLCC earnings power; lift CSET-H/A PTs and upgrade CSET-A to OW (3 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor — Week 1.0: Freight explodes as oil flows pause (10 Mar 2026)
- China Tanker Shipping: Expert call takeaways: Hormuz disruption – tighter fleet, longer voyages, slower normalization (11 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor – Week 2.0: freight moderates from extreme highs but structural tightness remains (16 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor – Week 2.7: demand is absorbing the cost shock, supporting sustained strength in tanker earnings (20 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 3.0: The market is underestimating how structural this oil trade disruption has become (23 Mar 2026)
- COSCO Shipping Energy Transport (1138.HK/600026.SH): 4Q25 earnings miss on impairments; core in-line as Hormuz-driven earnings upside remains intact (27 Mar 2026)
- COSCO Shipping Energy Transport (1138.HK/600026.SH): Post-4Q25-results briefing takeaways — safety removes supply, rates broaden beyond VLCCs (27 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 4.0: Consolidation strengthening, supply constrained – Buy Cosco Shipping Energy Transport on earnings capture (30 Mar 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 5.0: Fewer VLCCs are heading to Saudi — zero CSET participation signals preemptive withdrawal, not de-escalation (6 Apr 2026)
- China Tanker Shipping: Ceasefire is a reprieve, not a resolution — tanker shipping upside persists across scenarios, magnitude vs base case varies (8 Apr 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 6: Too eventful for Easter — from ceasefire to blockade in one week (13 Apr 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 7: not crowded, still tight — tanker markets under selective participation (19 Apr 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 8: Hormuz closure persists — lag phase masks underlying tightening (27 Apr 2026)

- China Tanker Shipping: UAE abandons quotas — tankers to gain incremental barrels, post-Hormuz reopening (29 Apr 2026)
- China Tanker Shipping: Hormuz disruption monitor – week 9: panic fades, rates ease — optionality builds (4 May 2026)
- China Tanker Shipping: Hormuz disruption monitor - week 10: The next move depends on whether oil demand holds up (11 May 2026)

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Coverage Universe: Lam, Beatrice : CIMC Enric (3899.HK), COSCO Shipping Energy Transport - A (600026.SS), COSCO Shipping Energy Transport - H (1138.HK), EHang - ADR (EH), Johnson Electric - H (0179.HK), Pacific Basin Shipping - H (2343.HK), Wolong Electric - A (600580.SS), Yangzijiang Shipbuilding Holdings Ltd (YAZG.SI)

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